7 Cash Drivers

Question 1: What are the seven fundamental factors that affect a business's cash? Answer: Sales Growth, Gross Margin, Expenses, Account Receivables (Debtors), Stock Days on Hand, Accounts Payable (Creditors), and Net Capital Expenditure.
Key Point: Understanding these seven factors is the important first step to improving common problems related to business cash flow.

Question 2: If your business is not generating sufficient cash, how might this affect your relationship with creditors?
Answer: You may not be able to pay creditors on time, which can affect your ability to negotiate the best pricing, delivery, or quality of products, and in extreme cases, your business may cease to operate due to stopped credit.
Key Point: Cash in the bank or a bank overdraft facility is essential for maintaining strong supplier relationships and operational stability.

Question 3: How does an increase in sales affect your business's cash position? Answer: An increase in sales uses cash.
Key Point: While an increase in sales is good for long-term futures, there are almost always immediate costs that must be covered, such as increases in core stock, debtors, staff salaries, and transport costs.

Question 4: What is the formula used to measure Gross Margin?
Answer: (Sales - Cost of Goods Sold) / Sales.
Key Point: Gross Margin is a profitability ratio, and an increase in gross margin releases cash, whereas a decrease uses cash.

Question 5: Why is depreciation excluded when calculating the Expense % ratio? Answer: Because depreciation is a non-cash item.
Key Point: The expense ratio is strictly focused on cash drivers, so it is calculated as (Expenses Excluding Depreciation) / Sales.

Question 6: How does a decrease in debtors (Account Receivables) affect cash? Answer: A decrease in debtors releases cash.
Key Point: Debtor collection is measured using a Days on Hand calculation to standardize it against sales levels, allowing for accurate comparison with past periods despite changes in sales.

Question 7: What is the formula for calculating Inventory (Stock) Days on Hand? Answer: (Stock x 365) / Cost of Goods Sold.
Key Point: An increase in stock uses cash, while a decrease in stock releases cash.

Question 8: How does an increase in Accounts Payable (Creditors) affect cash? Answer: An increase in creditors releases cash.
Key Point: The measurement uses a Days on Hand calculation applied to the cost of goods sold figure to estimate creditor efficiency.

Question 9: How is Net Capital Expenditure (Capex) measured?
Answer: It is measured using the cost of any capital items less salvage value, assuming it is a replacement.
Key Point: An increase in capex uses cash, whereas a decrease in capex releases cash.

Question 10: Under what circumstance will improving cash flow fail to help your business in the long term? Answer: If there are fundamental issues regarding the pricing of work, costing inputs, or other core management issues. Key Point: Cash flow management is critical, but it cannot permanently fix a structurally unprofitable business model.

Dashboard Discussions

Question 11: What is the specific role of the participant in a planning session?
Answer: To be ready to explore issues and ideas with an open heart and an open mind.

Key Point: The objective of the meeting is to "Discover What We've Been Missing," which requires participants to collaboratively challenge what they believe to be true.

Question 12: In the Category Secrets framework, which cost category relates to efforts made to secure more business, such as marketing and branding?
Answer: Activity Costs (or "Get The Job" costs).
Key Point: These are costs incurred in the hope that you win more work or make more sales in the future, distinct from Variable Costs.

Question 13: What is the definition of Fixed Costs within the Category Secrets framework?
Answer: The structural requirements to "House" staff and serve customers based on how you believe things should be done.
Key Point: These are the costs of "being in business," determining how much of a customer's problem you solve in-house and the type of experience you provide.

Question 14: In the 3x3 Review Framework, what are the three elements of the operational sequence that align with Cause, Event, and Effect?
Answer: Get Organised, Get the Job, and Do the Job.
Key Point: This operational sequence directly overlays with your financial choices (Fixed Costs, Activity Costs, Variable Costs) to help determine the 'downstream' effects of performance.

Question 15: When reviewing a metric and struggling to gain clarity, what specific action should be taken?
Answer: Ask the "5 Why's" to find the root cause.
Key Point: You should seek information, not judgment, because no single ratio or report can give you the whole story.

Question 16: The "Sales to Gross Profit Ratio" highlights tactical options in which two specific cost areas?
Answer: Do the Job (Variable Costs) and Get the Job (Activity Costs).
Key Point: This ratio relates to tactical elements like purchasing efficiencies, process improvements, pricing, and sales effectiveness.

Question 17: What two operational phases are highlighted when analyzing the "Wages to Sales Ratio"?
Answer: Do the Job (Variable Costs) and Get the Job (Activity Costs).
Key Point: Wages primarily impact the efficiencies of projecting, managing and doing the work, as well as the sales effectiveness required to secure the work.

Question 18: What is the definition of a "Common Cause" of data volatility?
Answer: High Frequency - Low Impact events (e.g., a retail store experiencing a rainy day).
Key Point: Understanding the cause of volatility prevents tampering, which is the misinterpretation of and incorrect response to data.

Question 19: How is a "Special Cause" of volatility defined?
Answer: Low Frequency - High Impact events (e.g., an Earthquake or Pandemic).
Key Point: Separating special causes from seasonal patterns or common causes helps ensure data is consistent with previous business assumptions.

Question 20: When reviewing dashboard data, you must always define if the data represents Causation, Coincidence, or what third term?
Answer: Correlation.
Key Point: Always seek a balanced view by looking for both 'good & bad' data to accurately interpret performance.

3 Pillars of Financial Management

Question 21: What are the 3 Pillars of Financial Management?
Answer: Scenario Model (Assumptions/Targets), Financial Systems & Controls, and Reporting (Performance/Actual).
Key Point: The foundation of robust business finance operates as a continuous cycle utilizing these three pillars rather than as a static process.

Question 22: What is the primary function of the Scenario Model?
Answer: It acts as your "What-if" calculator, essential for Strategic & Operational Planning.
Key Point: Scenario planning helps identify risks and opportunities by assigning a probability to observations; failing to "do the math" here is often at the heart of business failure.
Question 23: What is the main purpose of management reporting?
Answer: To avoid confirmation bias.
Key Point: Reporting helps identify what you don't know just as much as confirming what you do know, providing tangible proof gained after business activities.

Question 24: In the Client Progression model, why are clients typically "Stuck in the Mud"?
Answer: They are withdrawn from business development due to fatigue, fear of loss, or lack of clarity and belief.
Key Point: The solution is to create self-relevance using a persona (like the Heald matrix) so they can see that progress is easily within their reach.

Question 25: How does a business owner overcome "The Knowledge Gap" regarding their finances?
Answer: By understanding their business in cyclic terms (using a Working Capital Cycle template) to grasp the true effects of time and discounting.
Key Point: This creates an "ah-ha" moment, allowing the client to piece together the role of forecasting and budgeting.

Question 26: What is the first step of the Advisory Staircase?
Answer: Compilation & Verification (Get the data in, get it clean and timely).
Key Point: This step establishes the foundation before moving on to rendering the data for comprehension in the Assimilation stage.

Question 27: During Step 3 (Interpretation) of the Advisory Staircase, what key distinction must be recognized?
Answer: The difference between correlation and causation.

Key Point: This step helps clients recognize that volatility can only be reduced by refining procedures and treating problems as quantifiable "what-if" events.

Question 28: According to the Q&A, why do many business owners avoid financial management entirely?
Answer: Due to ignorance, fear, or because they come from a "technician" or "artisan" background and simply don't know what they don't know about financial systems.
Key Point: This lack of knowledge often causes owners to fail to "do the math," which is a core reason for business failure.

Question 29: How can a business owner change their negative mindset toward financial forecasting being a frustrating "static prediction"?
Answer: By combining a 3-way forecast with "revenue model sensitivity".
Key Point: This shifts the forecast into a series of clues for what to expect, which brings joy from learning and helps the owner feel in control.

Question 30: Where does benchmarking or comparative analysis fit into the 3 pillars?
Answer: It comes at the end, in the reporting stage.
Key Point: You must first use your scenario model to "flush out" your current daily assumptions before blurring your perspective with outside organizational data.

8 Profit Levers

Question 31: What are the five profit levers that multiply together to equal Total Revenue?
Answer: Number of Foot-traffic, Number of Prospects, Number of Customers, Average Customer Spend, and Average Customer Frequency.
Key Point: Managing these five variables dictates the total money coming into the business before expenses are deducted.

Question 32: What is the Basic Profit Formula?
Answer: Total Revenue (minus) Total Expenses = Profit.

Key Point: Revenue is driven by the first five levers, while Expenses are driven by the remaining three (Sales Margin, Activity Costs, Fixed Costs).

Question 33: How is Lifetime Customer Value calculated?
Answer: Average purchase value (Customer Spend) x annual transaction frequency (Customer Frequency) x number of years expected to retain the customer.
Key Point: This calculation reveals the long-term revenue story and the true financial worth of keeping a customer wanting more.
Question 34: In the 8 Profit Levers, what does "Sales Margin" represent?
Answer: The difference between how much you sell it for minus what it cost you.
Key Point: This lever focuses on efforts to buy materials/stock for less and sell them for more.

Question 35: In the Customer Journey (Revenue) Story, what represents "Total Available Market"?
Answer: How many people live in your area.
Key Point: This is the absolute ceiling of potential buyers, from which you must extract market exposure (foot traffic) and market engagement (prospects).

Question 36: What are the three primary uses for business profits?
Answer: 1. To purchase new assets for growth or fund expansion activities, 2. To repay debt, 3. To distribute to business owners.
Key Point: The way a company uses its profits indicates the management team's preferences and acts as a critical measure of their performance.

Question 37: What is the definition of "Over-Trading"?
Answer: The term used to describe funding growth primarily via debt where the lack of previously retained profits results in the debt/equity ratio getting out of balance.
Key Point: The danger is using debt to fund fixed assets merely in the hope that it leads to increased future sales, leaving the business vulnerable to a market downturn.

Question 38: What financial phrase describes debt applied directly to increasing work capacity or stock cycles for which a demand is already evident?
Answer: Liquid Debt.

Key Point: This strategy treats the interest cost as a reduction in job margin; if margins are high enough to validate the risk, the debt can be safely "sold down" through foreseeable work cycles.

Question 39: When assessing Profit Plateau Levels, what is the easiest way to see if taking on new debt is justifiable?
Answer: Perform a 'Liquidation Value Estimate' on the proposed new business scale.
Key Point: You must ask how easy it would be to scale back down if necessary, and what existing equity is being placed at risk with the new scale.
Question 40: What is one of the three signs of Ineffective Management?
Answer: No current evidence of clear business objectives; either completely lacking or 'blunt' (not measurable, not time bound).
Key Point: Without clear objectives, tasks cannot be allocated properly, and a culture that accepts task failure or lacks feedback loops will emerge.

Working Capital Cycle

Question 41: What are the four stages of the "Money in Movement" (Working Capital) cycle?
Answer: Cash, Stock, Sale, and Debtors.
Key Point: This continuous cycle is 'The Money that Makes Money', operating separately from the Fixed Capital structural requirements.

Question 42: Leases, plant/equipment, and structural overheads are classified as what type of capital?
Answer: Fixed Capital (Structural Requirements).
Key Point: Fixed capital represents the "Cost of Being in Business" and is funded by owners' investment or distributed profits, not directly from the daily movement of stock and debtors.

Question 43: If you pay cash for stock, sell it all in the same month, get paid by the supermarket promptly, but still lack money to buy new stock and pay wages, do you have a cash flow problem?
Answer: No.
Key Point: In this scenario, you have a profitability problem. If the trading cycle completes in the same period, your margins are either too low, your fixed costs are too high, or you were underfunded from the outset.

Question 44: If you lack the cash to afford an unexpected 'in-fill order' from a supermarket because your supplier requires cash up front, what kind of problem do you have?
Answer: A lack of working capital.
Key Point: This is where appropriate funding is useful, provided your gross margin can support the cost of finance (treating finance as an opportunity cost to secure the client relationship).

Question 45: If you miss a monthly billing period due to delayed purchasing confirmation, resulting in you not getting paid until the following month, do you have a cash flow problem?
Answer: Yes.
Key Point: Your operational procedures failed to complete the trading cycle in the same period, delaying the arrival of your cash.

Question 46: What happens to a business if it regularly experiences cash flow problems due to delayed trading cycles?
Answer: It may reduce the total annual sales/stock turns, resulting in making less profit for the year.
Key Point: Time delays directly impact the number of trading cycles you can complete annually, highlighting the effects of time and discounting on working capital.

Question 47: In a 60-day cycle example, a 34% reduction in cost equates to what percentage increase in markup?
Answer: A 103% increase in markup.

Key Point: Lowering costs significantly boosts margins, which is necessary to survive extended 60-day working capital cycles without going bust.

Question 48: What are the two key points to remember about Retained Earnings?
Answer: They are cumulative (established since the first day of trading), and they are often not CASH.
Key Point: Retained earnings may have been used to buy assets, increase stock, reduce debt, or they might be 'hiding in the debtors ledger'.

Question 49: In the Working Capital Cycle, what happens to distributed profits (R.O.I)?
Answer: They exit the business structure.
Key Point: Profits are extracted from the fixed capital structure, demonstrating why working capital must continuously cycle to generate excess cash for those distributions.

Question 50: What term describes a business model or industry (like Earthmoving) that requires large amounts of depreciating equipment to serve the customer?
Answer: Capital Intensive.
Key Point: Fixed Capital Assets are positively correlated to Working Capital Cycle ability, and the high cost acts as a barrier to entry for new competitors.

6 Hats

Question 1: What problem can occur even when individuals in a business discussion want the same outcome?
Answer: People can trip over each other and begin thinking at cross purposes due to differences in how they internally process and solve problems.
Key Point: Well-meaning individuals may inadvertently cause confusion if their problem-solving approaches differ.

Question 2: According to Evolutionary Psychologist Dan Sperber, what is the purpose of our inner dialogue?

Answer: Our inner dialogue is a defense mechanism that helps us build a position to influence others.
Key Point: We naturally build arguments and seek information to support our views, which leads to confirmation bias.

Question 3: What is the result of getting everybody focused on the same topic with the same terminology?
Answer: It will increase the effectiveness of your business planning sessions ten-fold.
Key Point: Collaborative thinking directed via structure and language enables true innovation where the sum is greater than its parts.

Question 4: What is the difference between Purpose Focus and Area Focus?
Answer: Purpose Focus is pre-determined to "achieve that," while Area Focus involves thinking in an area without knowing what to expect.
Key Point: Focus thinking can be applied strictly toward a specific goal or broadly within a conceptual area.

Question 5: What scientific method is the strategic equivalent to 6 Hats Thinking for business owners?
Answer: A Double Blind (Placebo) Study.
Key Point: Just as a double-blind study avoids confirmation bias for a researcher, 6 Hats Thinking avoids confirmation bias in business strategy.

Question 6: Which hat focuses on optimism, benefits, and the ability to see value objectively?
Answer: The Yellow Hat.
Key Point: The Yellow Hat acts as "Sunshine," prompting individuals to ask how to do something and to find the value in ideas.

Question 7: What types of thoughts are put forward when wearing the Red Hat?
Answer: Feelings, intuition, and emotions are put forward without discrimination.
Key Point: The Red Hat serves as a trigger for "Fire / Warmth," allowing raw emotional responses to be shared.

Question 8: What is the primary rule regarding the order of using the 6 Hats?
Answer: You can use any hat, in any order, and repeat any hat, as long as everyone is wearing the same hat at the same time.
Key Point: The framework is highly flexible, but strict group alignment on the current hat is required to prevent inconsistent discussions.

Question 9: What structure should be used to define a problem in writing before discussing it?
Answer: The (Problem, Because, Results) statement structure.
Key Point: Clearly defining what the problem is, why it exists, and the resulting frustrations ensures the discussion stays targeted on key issues.

Question 10: What are the two key aims that any guided thinking process must achieve?
Answer: It must enable a deeper understanding and exploration of issues, and it must align or focus thinking on singular aspects at a time.
Key Point: Edward De Bono refers to this focused, singular alignment as "parallel thinking".

4 Part Bizz Plan

Question 11: What is the stated objective regarding assumptions for the planning session?
Answer: The objective is to challenge what you believe to be true and discover what you've been missing.
Key Point: Participants must explore issues and ideas with an open heart and an open mind.

Question 12: What Japanese concept defines "a reason for being"?
Answer: IKIGAI.
Key Point: IKIGAI represents the intersection of what you love, what you are good at, what you can be paid for, and what the world needs.

Question 13: What are the four parts of the 4 Part Business Plan?
Answer: Market Assumptions, Business Owner Expectations, 8 Lever Action Plan, and Model Best Probable World.
Key Point: This comprehensive structure ensures alignment between market reality, personal goals, execution steps, and revenue capacity.

Question 14: How is Total Revenue calculated using the 8 Profit Levers?
Answer: Number of Foot-traffic multiplied by Number of Prospects multiplied by Number of Customers, which is then multiplied by Average Customer Spend and Average Customer Frequency.
Key Point: Revenue is not a single action but the result of optimizing traffic, conversion rates, transaction sizes, and buying frequency.

Question 15: What is the formula to calculate Average Customer Spend?
Answer: Total Sales Value divided by Total Number of Transactions.
Key Point: Understanding the average spend per transaction helps business owners pull specific levers to increase overall revenue.

Question 16: What makes up Total Expenses in the 8 Profit Levers model?
Answer: Sales Margin, (Sales) Activity Costs, and Fixed Costs (Overheads).
Key Point: Profit is simply Total Revenue minus Total Expenses, so isolating the specific types of expenses allows for better cost control.

Question 17: What business aim corresponds to the profit levers of Average Customer Spend and Average Customer Frequency?
Answer: Keep them WANTING MORE.
Key Point: Retention and upselling are primary drivers for extracting more value from existing customers.

Question 18: In Market Assumptions, what does "The Acid Test" require the owner to identify?
Answer: The key obstacle you must overcome in order to make the venture a success.
Key Point: Identifying the most critical obstacle ensures that foundational threats are addressed before other operational factors.

Question 19: What does the "Ripcord" section of the business model ask you to identify?
Answer: How you will identify early failure and how you can collapse the business to get out quickly.
Key Point: A complete business plan requires a pre-determined exit strategy to minimize losses if market assumptions prove false.

Question 20: How does the framework define "Value Proposition"?
Answer: It is what you will DO for your customers, what they will enjoy as a result of your product/service, and what makes it special.
Key Point: A clear value proposition must focus on the resulting benefits and differentiation delivered to the customer.

Debtor Protocols

Question 21: Why does being reliant on too few regular customers create debtor issues?
Answer: It shifts the balance of power too heavily in favor of the customer, making management fear having a confrontational discussion about payment.
Key Point: Fear of losing a "valuable customer" often prevents business owners from enforcing payment terms.

Question 22: What happens when the due diligence of an "Expectations of You - Sit Down" meeting is overlooked?
Answer: Terms of trade are not supported, often because management feels formal structure will cause poor feeling and the loss of a new "A class" client.
Key Point: Establishing formal terms early prevents misunderstandings and sets the ground rules for getting paid.

Question 23: Why is managing the money considered more important than managing the work itself?

Answer: History is littered with hard-working business owners with brilliant ideas who went broke because they didn't manage their cash flow.
Key Point: Financial requirements of your Work In Progress (W.I.P) volume dictate business survival, regardless of craftsmanship.

Question 24: What is the recommended action for clients who are over 30 days late on payment?
Answer: They are sent a reminder letter with a Lolly included.
Key Point: Using a small, disarming gesture like a Lolly helps broach the uncomfortable topic of overdue payments.

Question 25: According to the timeline, what penalty applies to any invoice outstanding longer than 90 days that exceeds $10,000?
Answer: It attracts interest backdated from the due date.
Key Point: Enforcing a strict financial penalty on major, highly delinquent debts is necessary to recover costs and prompt payment.

Question 26: How does "Coded behaviour" explain why business owners fail to discuss payments?
Answer: We allow unwritten rules to influence our behavior, which, combined with the "Dominance Hierarchy," causes hesitation in confronting customers.
Key Point: Overcoming ingrained social hierarchies requires framing the discussion as "Clarifying Expectations to Improve Working Efficiency."

Question 27: In the 60 Day Debtor Follow-up Phone Script, how do you create "Self Relevance"?
Answer: By explaining that, like them, you are struggling to get what you are owed and need their help to get through the month.
Key Point: Sharing mutual hardship builds empathy and transforms a hostile collection call into a request for mutual assistance.

Question 28: What is the psychological phenomenon of "over-identification"?
Answer: It describes how we see ourselves in others; when calling debtors facing hardship, we self-identify with their pain and make it "OUR PAIN".

Key Point: Feeling like a hypocrite or over-identifying with a debtor's financial stress prevents business owners from demanding rightful payment.

Question 29: How does the "Role-Identification" psyche error manifest in poor decision making?
Answer: People manufacture behaviors to appear consistent with what they think a "Boss" should act like, causing them to be inauthentic and unable to get out of their own way.
Key Point: Mimicking an aspirational figure instead of being genuine replaces the "person" with the "business person," leading to confrontational transitions.

Question 30: What does the "Mere-Exposure Effect" cause businesses to do?
Answer: It causes them to allocate energy toward new threats rather than challenging what is known, manifesting as actions to "Keep What We Have" rather than "Achieving What We Need".
Key Point: Familiarity creates a false sense of security (the "better the devil you know" mentality), blinding businesses to necessary changes.

Rubbish in - Rubbish out

Question 31: What is essential to do after making a good decision?
Answer: Being able to measure the effects afterwards is essential.
Key Point: Decisions don't have to be perfect the first time if you have the data to know when you got it wrong early enough to fix it.

Question 32: What are the three metaphorical drawers in the Chart of Accounts filing cabinet?
Answer: 1. Variable Costs, 2. Activity Costs, and 3. Fixed Costs.
Key Point: Organizing financial data into these three logical categories ensures accurate filing and easy retrieval of critical information.

Question 33: How are Variable Costs defined in relation to the customer?

Answer: They are what it costs to solve your customer's problem and meet their ability to pay you for it.
Key Point: These are costs directly incurred on the "promise" that you'll get paid when the specific work is delivered (e.g., materials, contract labor).

Question 34: What do Activity Costs relate to?
Answer: They relate to the efforts you make to secure more business, such as securing work and/or sales to customers.
Key Point: These are costs incurred in the hope of winning more work in the future, like marketing, branding, and sales travel.

Question 35: How are Fixed Costs conceptually defined?
Answer: They are the structural requirements to "house" staff and serve customers.
Key Point: Fixed costs are the expenses of simply "being in business," representing how you choose to provide your customer experience regardless of sales volume.

Question 36: If you listen to what Variable Costs tell you, what "secret" category of actions do they reveal?
Answer: They reveal how to "Do The Job."
Key Point: Analyzing variable costs leads to insights on purchasing efficiencies, project management, wastage reduction, and process improvements.

Question 37: What category of actions do Activity Costs reveal when analyzed?
Answer: They reveal how to "Get The Job."
Key Point: Activity costs shed light on product positioning, message clarity, sales effectiveness, and brand awareness.

Question 38: What category of actions do Fixed Costs reveal?
Answer: They reveal how to "Get Organised."
Key Point: Fixed costs inform decisions on the use of assets, model design, leadership, culture, and strategic vision.

Question 39: What is the purpose of completing a Key Performance Indicator (KPI) table?

Answer: To record financial and non-financial measures that you choose to "Pay Attention To."
Key Point: KPIs dictate your focus; simply getting started by paying attention to specific metrics is the first step to management.

Question 40: According to the Filing Cabinet example, in which "Drawer" and "Divider" would you place Rent and Power?
Answer: Drawer: Fixed Costs (Get Organised). Divider: Premises.
Key Point: Structuring overheads accurately ensures that structural facility costs are tracked separately from operational execution costs.

What's Applicable

Question 41: What is the layman's explanation of Efficiency?
Answer: "Getting more done, with less effort."
Key Point: Efficiency focuses purely on the ratio of work performed to energy expended.

Question 42: What is the layman's explanation of Effectiveness?
Answer: "The greater the outcome, with the same or less effort."
Key Point: Effectiveness is concerned with how successful something is in producing a desired result or achieving a goal.

Question 43: What is the key takeaway regarding the relationship between efficiency and effectiveness?
Answer: It doesn't matter how efficient we become at completing a task if it isn't effective in helping us achieve our goals.
Key Point: Doing the wrong thing quickly (efficiency) is useless if it doesn't yield the right business outcomes (effectiveness).

Question 44: When analyzing where to implement effective technologies, where should you start?

Answer: Start with the everyday tasks that are repetitive and see if they can be automated WITHOUT reducing their effectiveness.
Key Point: Automation must only be applied to repetitive tasks if the final outcome remains uncompromised.

Question 45: What is a software solution area listed under Outbound Messaging?
Answer: Infographics & Marketing Templates, Email to SMS (Text) Messaging, Video Editing & Podcasting, Webinar Hosting, Sequential Email to Database, or Video Hosting.
Key Point: Technology provides multiple avenues to streamline outbound communication to prospects and clients.

Question 46: What is an example of an Administration & Compliance software solution area?
Answer: Accounts Compilation & Verification, Tax Compliance, Financial Reporting & Forecasting, Payroll / Annual Leave Calcs, or OCR Receipt / Direct Data Feeds.
Key Point: Back-office administrative burdens can be heavily automated using specialized compliance and financial software.

Question 47: What specific software options are suggested for Job Scheduling & Logistics (Workflow Management)?
Answer: Fergus or Simpro.
Key Point: Specialized logistics software helps manage operational workflows and dispatching efficiently.

Question 48: What software options are provided for Electronic Sales Transactions (EFT POS)?
Answer: Vend is listed for Point of Sale.
Key Point: Modern sales engagement relies on digital point-of-sale systems to streamline the purchasing process.

Question 49: What does the technical definition of efficiency describe?
Answer: The ratio of useful work performed in relation to energy expended.
Key Point: From its Latin origins meaning "accomplish," efficiency is strictly a measurement of energy input vs work output.

Question 50: What software options are listed for Cloud Based Document Storage & Sharing?
Answer: Google Drive or Dropbox.
Key Point: Training and governance rely heavily on accessible, cloud-based data repositories.

Customer Journey

Question 51: How do you calculate Lifetime Customer Value?
Answer: Expected annual transaction frequency multiplied by average purchase value, multiplied by the number of years expected to retain the Customer.
Key Point: Lifetime value dictates how much you can afford to spend to acquire a single customer.

Question 52: What does the Prospect Conversion Ratio measure?
Answer: What percentage of Prospects Choose to Purchase From Me.
Key Point: This metric highlights the effectiveness of your sales engagement and closing abilities.

Question 53: What is the difference between a Suspect and a Prospect?
Answer: A Suspect broadly fits the customer profile, whereas a Prospect has the correct profile and is in a 'Goldilocks State'—willing to engage with you.
Key Point: Marketing must filter out suspects to focus resources on prospects who are actually ready to interact.

Question 54: How is an "Advocate" defined in the customer journey?
Answer: A customer who actively seeks to promote you to others on a non-structured basis.
Key Point: Advocates provide organic, free marketing by sharing their positive experiences with their own networks.

Question 55: What differentiates a Centre of Influence from an Advocate?

Answer: A Centre of Influence is formally aligned with you in the promotion of your service to their customer base.
Key Point: Centers of influence require formal protocols and partnerships, unlike advocates who promote you casually.

Question 56: What is the first question to ask when assessing "My Customer 'Revenue' Actions"?
Answer: Where is your Marketing / Sales Journey 'breaking down'?
Key Point: Identifying the exact point of failure in the funnel is required before any rectifications can be applied.

Question 57: What time frame is suggested for implementing rectifications to the sales journey?
Answer: Within 30 days.
Key Point: Business owners must differentiate between immediate fixes (within 30 days) and longer-term strategic changes.

Question 58: What must be done before addressing customer motivations and frustrations?
Answer: You must ask, "What are your 3 main customer profiles?"
Key Point: You cannot solve purchase friction without first clearly identifying the specific personas you are selling to.

Question 59: Why must you list the different motivational drivers for each profile?
Answer: Because different profiles seek your product or service for different reasons.
Key Point: Understanding why someone buys allows you to tailor the marketing message to their specific needs.

Question 60: What is the ultimate goal of understanding key frustrations and legitimate constraints?
Answer: To modify your product or service to reduce 'purchase friction'.
Key Point: Removing barriers to entry makes it easier for prospects to transition into paying customers.

Demings Volatility

Question 61: Why is averaging data NOT always useful for measuring performance? Answer: Because it is more probable that results will be ABOVE or BELOW the average, meaning you automatically pass or fail based on a single summarizing number.
Key Point: An average summarizes a large amount of data but strips away the context of normal variations.

Question 62: What mathematical metric is more relevant for business prediction than an average?
Answer: Standard Deviation.
Key Point: Standard deviation calculates a "likely range," allowing business owners to predict performance within normal fluctuations.

Question 63: In the Volatility/Std Deviation Graph, what percentage of data falls within one standard deviation up and down?
Answer: 68% Sales Range.
Key Point: Understanding that 68% of sales will naturally fall within this range prevents panic over normal monthly swings.

Question 64: When conducting Volatility Analysis, what must you check regarding the information in the graph?
Answer: Is the information consistent with your previous business assumptions/beliefs?
Key Point: Data should be used to validate or challenge the fundamental assumptions the owner has about the business model.

Question 65: If a data point falls wildly outside the standard deviation range, what must you determine?
Answer: Which of the data points relate to a Special or Seasonal cause.
Key Point: Outliers must be investigated to see if they are random anomalies or driven by specific, identifiable external events.

Question 66: To cope with "swings" in volatility, what should you review regarding key products and services?
Answer: You should review what could help "fill in the holes".
Key Point: Diversifying or adding complementary products can smooth out revenue valleys during slow periods.

Question 67: How can reviewing admin procedures help manage business volatility?
Answer: By determining how we could get the money in quicker.
Key Point: Faster cash realization cycles build financial buffers that help businesses survive sudden drops in revenue.

Question 68: How can reviewing marketing & sales tactics address volatility?
Answer: By figuring out how we could attract more customers, more often.
Key Point: Increasing customer volume and frequency raises the baseline revenue, making downward swings less dangerous.

Question 69: What aspect of finance should be reviewed to cope with the "swings"?
Answer: Review Working Capital—how should we finance and manage the money.
Key Point: Proper working capital management ensures the business remains solvent even during severe market contractions.

Question 70: What is the primary agenda objective for the Volatility session?
Answer: That we learn about the Theory of Volatility and identify where volatility analysis can help with decisions/management going forward.
Key Point: The session shifts management perspective from reacting to single data points to managing within statistical ranges.

Quick Fire Diagnosis

Question 71: In the Triage Assessment, what are the two main branches under "Business Focus"? **Answer:** Distress Focused and Growth Focused. **Key Point:** You must first diagnose whether the business requires emergency stabilization or if it is ready to scale.

Question 72: How do you calculate the "Quick Position" to assess Extreme Risk?
Answer: (Cash + Debtors - period expenses).
Key Point: This simple calculation immediately shows whether the business has enough liquid capital to survive the current trading period.

Question 73: How is "Distress" defined compared to "Extreme Risk"?
Answer: "Distress" is a state of decline or stalling, whereas "Extreme Risk" is Possible Short Term Failure.
Key Point: Extreme Risk requires immediate triage (like selling assets or redundancies within 90 days), while Distress requires a model review.

Question 74: What does the Distress Triage ask you to determine regarding the "rip-cord" moment?
Answer: Determine the viability timeline and agree now on the 'rip-cord' moment so emotions don't get in the way of necessary decisions.
Key Point: Pre-committing to an exit strategy prevents owners from draining personal wealth into a failing enterprise.

Question 75: Why should you run a distressed business through a "Worst Case Scenario model"?
Answer: To identify if the business can be split into salvageable/saleable components and to quantify owner exposure.
Key Point: Isolating the toxic parts of a business might save the profitable core and limit the owner's financial liability.

Question 76: Before entering Growth Mode, what must be checked via a Capacity Model?
Answer: The model/operator assumptions must be checked to determine the 'Probability' of growth expectations.
Key Point: Growth cannot occur if the underlying business model lacks the mathematical capacity to scale.

Question 77: What are the 3 Critical Domains for a Growth Focused business?
Answer: 1. Get Organised, 2. Get the Job, 3. Do the Job.

Key Point: These domains separate structural planning, sales/marketing, and operational execution for targeted improvements.

Question 78: In the "Get the Job" domain, what is the focus of "Lite Marketing"?
Answer: Who You Want to Speak to, What You Want to Say.
Key Point: Marketing must clearly define the target audience and the core messaging before any sales activities begin.

Question 79: In the "Do the Job" domain, what is the focus of "Lite People"?
Answer: Getting the Most Out of the People You've Got.
Key Point: Operational execution relies heavily on maximizing the efficiency and capabilities of the existing team.

Question 80: In the "Do the Job" domain, what is the focus of "Lite Process"?
Answer: Making improvements, step by step.
Key Point: Process improvement is iterative, focusing on incremental gains to overcome hurdles in getting work completed.

HOPE Recession Model

Question 81: According to Mike Barnes, while few have a Strategic GROWTH Plan, what does almost NO ONE have?
Answer: A Strategic Withdrawal Plan.
Key Point: Businesses rarely plan for economic downturns, leaving them highly vulnerable when the cycle shifts to a recession.

Question 82: What are the three phases shown on the Basic Economic Cycle graph?
Answer: Expansion, Peak, Recession, (followed by Trough and Expansion again).
Key Point: GDP Output naturally moves through these phases over time; business owners must recognize which phase they are currently navigating.

Question 83: What causes the economy to respond and trigger the sequence of the HOPE model?

Answer: Changes in rates (specifically, a Fed tightening cycle).
Key Point: Interest rate hikes act as the primary catalyst that slows down the economy in a predictable, sequential order.

Question 84: What does the "H" in HOPE stand for, and when does it react?
Answer: Housing. It is the 1st to slow (Reacts First).
Key Point: The housing sector is highly sensitive to interest rates, making it a great leading indicator for the rest of the economy.

Question 85: What does the "O" in HOPE stand for?
Answer: New Orders (ISM NO / Consumer NO). It is the 2nd to slow.
Key Point: Following housing, manufacturing and consumer demand for new orders begin to contract.

Question 86: What does the "P" in HOPE stand for?
Answer: Profits. It is the 3rd to slow.
Key Point: As orders drop, corporate profits inevitably shrink as revenues decline against fixed overheads.

Question 87: What does the "E" in HOPE stand for, and when does it react?
Answer: Employment. It is the most lagging part of the economy (Reacts Last).
Key Point: Job losses only occur after housing, orders, and profits have fallen; therefore, employment data looks backwards, not forwards.

Question 88: On a scale of 1-10, what must a business owner evaluate regarding their industry?
Answer: How much their industry is affected by the general economy.
Key Point: Certain industries are highly insulated from economic cycles, while others are heavily dependent on macro trends.

Question 89: Why must a business ask about options to raise working capital during this planning phase?
Answer: To prepare financially if required by the economic shift.

Key Point: Securing credit or cash reserves before a recession hits is a vital part of a Strategic Withdrawal Plan.

Question 90: What must a business identify to affirm their decision to act on a withdrawal plan?
Answer: The performance 'indicators/milestones' that would trigger the action.
Key Point: Clear, predefined metrics remove emotion from the decision-making process when economic conditions deteriorate.

Lite Feasibility

Question 91: In the "Situation" column, what does "Product Fit" require you to analyze?
Answer: Whether you are meeting existing demand or if you will be required to 'educate' your customers on why they need your product or service.
Key Point: Educating a market requires significantly more marketing funds and time compared to fulfilling an existing demand.

Question 92: What does "The Big Idea" define?
Answer: What problem/key frustrations you are going to solve for your potential customers or for your business as a result of the loan/asset purchase.
Key Point: Any investment must directly resolve a specific pain point to justify the financial outlay.

Question 93: What must be determined under "Market Size"?
Answer: How big is the scale of opportunity? / Financial upside?
Key Point: The potential financial return must be large enough to offset the risks of the new venture or asset purchase.

Question 94: How does the "Revenue Model" evaluate a new asset or funding?
Answer: It asks how the pending funding / asset purchase will contribute towards revenue or profit.
Key Point: You must draw a direct line between the capital spent and the exact mechanism by which it will generate income.

Question 95: What does "Break Even" measure in the context of an asset purchase?
Answer: What is the utilisation rate of the asset required to break even.
Key Point: Understanding how frequently an asset must be used to pay for itself determines the minimum operational volume required for success.

Question 96: What question does "The Ask" pose at the top of the feasibility assessment?
Answer: What is necessary to take this idea further?
Key Point: Every feasibility study must conclude with clear, actionable next steps required for progression.

Question 97: Under the Acid Test, what does "Risk / Return" ask you to consider?
Answer: What is at risk for you/your business if the asset purchase proves a failure.
Key Point: Assessing the worst-case financial liability ensures the business won't be destroyed by a single bad investment.

Question 98: In Lite Feasibility, what does the "Ripcord" section ask regarding early payment?
Answer: How can you get out quickly? Can the asset be sold directly or via 3rd parties, and what are the early payment penalties?
Key Point: Liquidation pathways and financing penalties must be known before committing to capital debt.

Question 99: What is the overarching purpose of the 'Lite' Feasibility document?
Answer: Assessing the pay-back of an idea, asset purchase, or loan.
Key Point: It provides a quick but comprehensive framework to ensure financial decisions are based on logic, not emotion.

Question 100: What are the two main categories that the Situation and Business Model must pass through?
Answer: They must pass through "The Ask" and "The Acid Test".
Key Point: Evaluating the situation and revenue mechanics is useless if the project fails the fundamental risk and ripcord assessments.

People vs. Process:

Question 101: What are the three core questions to ask about your people when "Doing the Job"?
Answer: Do they Know? Do they Do? Do they Care?
Key Point: Human performance relies on clarity of expectations, capability/tools, and emotional engagement.

Question 102: Under Team Drivers, what does "Know" mean?
Answer: Does your team know what is expected of them, and are they aware of vital information to help guide their actions.
Key Point: Ignorance of expectations or a lack of guiding information is a management failure, not a staff failure.

Question 103: Under Team Drivers, what does "Do" mean?
Answer: Does your team have the Skills and Tools necessary to be able to ACT on what they know.
Key Point: Even if a worker knows what to do, they will fail if the business does not provide the proper equipment (like a lathe) or training.

Question 104: Under Team Drivers, what does "Care" represent?
Answer: Does your team feel valued, do they understand how their role serves the customer, and do they see a future for themselves.
Key Point: Retention and quality output are directly tied to an employee's emotional connection and perceived future within the business.

Question 105: How is a "Process" defined?
Answer: A sequence of actions to produce a component in a consistent manner.
Key Point: A process focuses on a single, isolated output, like building the engine for a car.

Question 106: How is a "System" defined?

Answer: A collection of interdependent processes acting as a whole.
Key Point: Systems manage the orchestration of multiple processes to produce a final, holistic result, like assembling the whole car.

Question 107: What is the system focus and customer promise of "Six Sigma" (e.g., McDonald's)?
Answer: The focus is to Remove Variation, and the promise is "No Surprises."
Key Point: Six Sigma targets mass markets by ensuring the exact same standardized experience every time.

Question 108: What is the system focus and customer promise of "Lean" (e.g., Pak n Save)?
Answer: The focus is to Remove the Frills, and the promise is "You Save the Difference."
Key Point: Lean systems strip out waste so that cost savings can be passed directly to a mass market customer.

Question 109: What is the system focus and customer promise of "Constraint" theory (e.g., Air BnB)?
Answer: The focus is to Exploit the Weakness, and the promise is "Create Your Own Experience."
Key Point: Constraint theory caters to combined niches by turning potential weaknesses into unique, customizable assets.

Question 110: What is the underlying slogan of Constraint Theory?
Answer: "A chain is only as strong as its weakest link."
Key Point: Instead of fixing everything, this theory dictates you must identify and exploit the specific bottlenecks or 'Legitimate Constraints' in your system.

Price Rise

Question 111: What is the fundamental objective of price communication?

Answer: To mitigate churn by transforming a potential "relationship-killer" into a constructive, professional update between partners.
Key Point: It requires a radical shift in perspective from extraction (squeezing) to reinvestment (valuing).

Question 112: What does shifting from "Business Problem" to "Service Standard" mean?
Answer: Your overhead is your burden; the customer's concern is the utility, reliability, and quality they receive in exchange for their investment.
Key Point: Customers don't care about your internal bills; they care about what the price increase guarantees for them.

Question 113: What are the three layers of the "Sandwich" approach?
Answer: The Top Layer (Bread) acknowledges the partnership; the Middle (Meat) states the price adjustment; the Bottom Layer (Bread) reiterates commitment to their goals.
Key Point: This method attempts to soften the blow of financial news by hiding it between positive reinforcements.

Question 114: What is a major con of the Feedback Sandwich approach?
Answer: It has developed a bad reputation because it feels like a setup, creating an "insincerity gap" that erodes trust.
Key Point: Clients may view the initial praise as manipulative and overly "corporate," leaving them waiting for the "shoe to drop."

Question 115: What are the three components of the "Direct-First" (IPP) Approach?
Answer: The Update (Direct News), The Context (Why value justifies it), and The Partnership (Future focus).
Key Point: Delivering the news upfront changes the conversation from a negotiation to a firm, transparent notification.

Question 116: How do clients react to the Direct-First approach compared to the Sandwich approach?
Answer: In Direct-First, there is immediate clarity and focus shifts to "how" and "why," whereas in the Sandwich approach, they are waiting for the "shoe to drop."

Key Point: Professional services and B2B contracts benefit from the authoritative transparency of the Direct-First method.

Question 117: What is the difference between the 'Victim' and 'Steward' message when raising prices?
Answer: The Victim message says "I have to charge you more just to survive," making your problem their problem. The Steward message says "we are adjusting rates to ensure we never have to compromise on quality."
Key Point: You must frame honesty around maintaining service standards rather than defensively complaining about covering expenses.

Question 118: What is Retention-First Communication?
Answer: Leading with value by shifting the narrative away from internal costs and toward the service/features the customer values.
Key Point: This supports the adjustment as a necessary means to sustain the high standards the client expects.

Question 119: How do you provide "Ample Runway" to mitigate churn?
Answer: Provide a 30-to-60-day notice before any price adjustment takes effect.
Key Point: Giving clients a clearly defined transition date allows them to adjust their internal budgets without panic, showing professional respect.

Question 120: Why must you personalize the delivery for high-value accounts?
Answer: An automated email is a strategic error for significant partners; personalized check-ins frame the news as a professional update between peers.
Key Point: Protecting the relationship requires acknowledging their loyalty directly rather than issuing a cold mandate.

Structure Options

Question 121: Under "The Corporate Veil," who stands between the business owner and the customer in a Company structure?
Answer: The Business Shareholder structure (the Company entity).

Key Point: Unlike a Sole Trader where the owner is directly exposed, a Company provides a legal barrier separating the individual from the business liabilities.

Question 122: What is the key upside of being a Sole Trader?
Answer: All money flows to you, making it easy to manage and pay your taxes.
Key Point: It is the simplest model for a "1 man-band," though all debts also pass directly to the individual.

Question 123: What is a major point worth noting about a Partnership structure?
Answer: All obligations are 'Joint & Several' Liable.
Key Point: If a business partner spends a lot of money and leaves town, you are left with the bills going forward.

Question 124: What is a key point worth noting about a Company?
Answer: It is a legal separate entity, meaning you work for the company.
Key Point: It provides limited liability protection and makes it easier to sell and scale the business, but requires two lots of tax returns.

Question 125: What is the key downside of using a Trust structure?
Answer: It has more administration costs and even greater rules to follow.
Key Point: You can't just "park" assets in a trust to hide them; they must be actively seen to care for beneficiaries to provide estate protection.

Question 126: What does the 'Interested Party' Rule stipulate regarding the Separate Legal Entity concept?
Answer: You can't insure your neighbor's house and receive money if it burns down (unless you have a financial interest in the building & title).
Key Point: Therefore, if your Company invoices a client, the company receives the money and pays the taxes; you only get paid wages, even if you own shares in the company.

Question 127: What is the key downside of Boot-Strapped finance (personal savings)?
Answer: You don't have any financial reserves, which is risky and stressful, potentially distracting you from business decisions.

Key Point: While you don't have to share profits, tying up all personal savings puts the owner under immense psychological pressure.

Question 128: What is the key upside of "Good-will" Loans (from family or friends)?
Answer: They are easier to secure initially than Venture Capital investors or banks.
Key Point: However, they can become extremely uncomfortable if the business fails, as they are often prone to "hand-shake" agreements.

Question 129: What is the key downside of using Raised Capital (Investor support)?
Answer: You will be required to surrender shares in the business, meaning you will be influenced by others in your business operations.
Key Point: It provides funding without needing cash repayment, but sacrifices total autonomous control over the business.

Question 130: What is the key upside of using Debt (Bank or Finance company) to fund a business?
Answer: A time-specific loan means the arrangement will not affect you in the distant future once paid.
Key Point: The risk is mathematically calculable, but you must use some of the money you borrowed to pay back the money with interest.